

Decoding Customer Value: A SQL-Driven Retention Strategy

Executive Summary | Consulting & Analytics Club, IIT Guwahati | Summer Projects '26

Context

A D2C fashion brand operating across the United States has grown to 3,900 customers across Clothing, Accessories, Footwear, and Outerwear. Despite steady growth, the brand has never built a structured understanding of its customer base running promotions reactively without knowing whether they are building loyalty or simply attracting one-time bargain hunters. This analysis uses transactional and behavioral data to answer that question and provide a data-backed retention strategy.

Dataset Overview

3,900 Total Customers	1,142 Organic Loyal	838 Discount Dependent	482 Conversion Opportunities
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Key Findings

#	Question	Key Finding
Q1	Loyal vs Discount-Only	1,142 organic loyals avg \$80.72 spend, zero promo usage. 838 DDI customers spend only \$38.47 with 62.5% subscription rate the program has captured the wrong customers.
Q2	Behavioral Predictors	High previous purchases + zero promo dependency predicts long-term value. Mid-tenure customers (11–25 purchases) are being discount-trained at 48% promo rates in Spring/Summer the most at-risk cohort.
Q3	Underlevered Markets	6 organic states (Arizona, Texas, Tennessee, Virginia, Michigan, Alaska) show high spend and low promo rates with no deliberate targeting. Age 36–45 has lowest promo dependency (41.4%) but lowest subscription conversion.
Q4	Promo Restructuring	Sunset 443 high-tenure DDI customers (Clothing first, \$35.50 avg spend). Firewall 326 high-freq new customers from all promos. Revenue gap: \$17,044 from sunset segment vs \$69,429 from organic loyals at identical purchase depth.
Q5	Ideal Customer Profile	155 customers: avg \$81.50 spend, 38.5 purchases, 4.25 rating, 0% subscribed across every demographic. Best conversion target: 26–35 Female Clothing buyers (0% promo, 4.335 rating). Geographic focus: Arizona, Tennessee, Virginia.

Overall Assessment

The analysis of 3,900 customers reveals that 1,142 genuine loyals averaging \$80.72 spend operate entirely outside the brand's subscription program, while 838 discount-dependent customers spending only \$38.47 despite identical purchase depth account for 62.5% of all subscriptions. The brand is not building loyalty; it is subsidizing cheap transactions. The promotional restructuring case is clear: the sunset segment generates \$17,044 from 443 customers vs \$69,429 from 1,142 organic loyals. Six organic states including Arizona and Texas represent untapped full-price demand, and the brand's 155 ideal customers have a 0% subscription rate across every demographic it has no formal relationship with any of its best customers.

Strategic Recommendation

Stop discounting the 443 customers who have already proven loyalty. Never start discounting the 326 high-frequency new customers who are building it. Redirect the freed promotional budget toward subscription conversion for the 482 identified opportunities starting with 26–35 Female Clothing buyers who show 0% promo dependency, a 4.335 avg rating, and 38+ previous purchases with no subscription. Offer subscription at purchase 6–7 before habit is fully formed. Target look-alike acquisition in Arizona, Tennessee, and Virginia at full price. The brand does not have a growth problem it has a margin and retention architecture problem that discounts are actively making worse.